

revenue. At \$100 to \$150 million in sales, earnings (just from Dunkirk) were likely to be north of \$1.50 and possibly up to \$2.50 per USAP share.

Mac's Dhandho approach to buying mothballed steel mills for pennies on the dollar reminded me of our hero Lakshmi Mittal. As we saw in Chapter 4 ("Mittal Dhandho"), Mittal ended up one of the wealthiest men in the world with the same scruffy Dhandho approach to acquisitions—get them for nothing or next to nothing. Mac and Mittal must have some commonality in their ancestral gene pool. Mac's Dhandho ways further seduced me to load up on USAP.

With the Dunkirk acquisition, Universal Stainless could easily earn around \$2.75 to \$3.75 per share in a few years. Such a business, even with no excess capital was likely worth well over \$30 per share. If they did get Dunkirk to \$150 million and developed economies of scale, earnings could well approach \$4 per share and company's intrinsic value could get to be as much as \$40 to \$50 per share. Here was a business that had successfully acquired some pretty valuable assets for next to nothing. They were conservatively financed and had excellent management. In addition, specialty steel, unlike commodity rolled steel, gets premium pricing and is manufactured by a limited set of mills. Finally, with the acquisition of Dunkirk, the company had the ability to further process the output of its other two mills at Dunkirk, and they delivered finished products to the marketplace compared to the significant amount of semi-finished products they delivered before the acquisition of Dunkirk. These were all the positives.

The negatives were that this was still the steel business. It was cyclical and subject to all the gyrating vagaries of supply and demand. In addition, Dunkirk would require some capital to get it operational again, and they would lose money until it got to at least \$25 to \$30 million in annual sales. Earnings of USAP were likely to go down in the near future before rising eventually.

In aggregate, I considered it a bet very much worth making. Pabrai Funds first invested in Universal Stainless stock in April 2002. We bought our initial stake in the \$14 to \$15 per share range—putting 10 percent of assets under management into USAP. How could I miss on this sure shot?